

807 Food Co-operative

Executive Summary

The 807 Food Co-op is a producer-led co-operative operating in the Dryden region and surrounding areas. We procure, aggregate and distribute local food from our local producers and processors to direct-to-consumer and wholesale markets, including restaurants, grocery stores, schools, universities and more.

Background and Scope

History: Established in 2021, the 807 Food Co-op is a non-profit organization dedicated to fostering collaboration and promoting a grassroots food system in Northwestern Ontario. As a producer-member organization, our operations are overseen by a board of 5-7 passionate individuals connected to the local food industry.

In 2022 the board of directors worked towards documenting processes, policies and procedures, as well as initiating pilot projects to gauge market interest in offerings like Grocery Boxes, Meat Boxes, Meal Packages and Vegetable CSA's.

In late 2022 / early 2023, we had significant board member and partner turnover, mainly due to frustration with funding delays, which caused a delay in momentum that was later rekindled with fresh management from partners, resulting in increased connections in the region.

By mid 2023 there were fresh eyes on the board and new contractors working within the pilot "Dryden Food Hub" project. With a highly effective team composed of Bobbie Parr, Jessica Cherry and later Diedre Fehr, leaps and bounds were made towards the co-operative goals. Not only did the project go above and beyond the deliverables for the project, a number of foundations were laid for the growth of the food hub into a larger regional network in 2024.

2024 brought in new challenges with a funding gap for contractors. The board chair, Alicia Saunders, worked closely with Bobbie Parr (former contract coordinator and board member) to maintain momentum at the food hub and provide support for the co-operatives goals on a

volunteer basis. Jessica Cherry at Rooted Impact and Jennifer Ross at OCA were also working on a volunteer basis to ensure that the project was moving in the right direction.

Purpose: At 807 Food Co-op, we firmly believe that a strong community is built upon self-sufficient and resilient individuals, and food plays a vital role in every aspect of life. Our primary mission is to foster regional food capacity by collaborating with organizations that share our vision. Simultaneously, we are dedicated to offering valuable resources and services to our community, with a special emphasis on local producers and consumers. Through our knowledge transfer initiatives and programs, we strive to create a collective impact that brings positive change to our community, harnessing the transformative power of food.

Governance & Legal

807 Food Co-op is a co-operative without share capital incorporated in Ontario governed by a board of directors.

Mission, Vision and Objectives

Mission: to empower communities in Northwestern Ontario by utilizing food as a catalyst for change. Through our grassroots food hub, we strive to foster self-sufficiency, sustainability, and social impact. By connecting local producers, consumers, and resources, we build a resilient food system that supports the well-being and prosperity of our communities.

Vision: to design a system where communities rely on vibrant hubs that aspire to empower, inform and educate generations to come, enabling them to embrace their inherent potential and actively participate in building resilient, self-reliant communities.

Through our mission, 807 Food Co-op:

- Promotes local food production, reducing dependency on centralized food systems and fostering biodiversity.
- Educates communities on the benefits of sustainable living, permaculture, and closed-loop systems at individual and community levels.
- Encourages the development and adoption of innovative agroecological practices, improving soil health and minimizing environmental impact.

- Supports local businesses and farmers, creating job opportunities and bringing economic development to communities.
- Builds strong networks for knowledge sharing and skill development, enhancing community resilience and cooperation.
- Advocates for policies that incentivize sustainable agricultural practices and support community-driven initiatives.
- Preserves and honour traditional food, Indigenous methods, and regenerative farming knowledge, contributing to cultural enrichment and global sustainability.
- Fosters positive change, affecting not only the way people grow, consume, and distribute food but also their connection to the environment and each other.

Market Analysis

The nature of the agricultural sector in the region is that it has remained largely unchanged in regards to the size and quantity of farms and farmland, but there has been a continual small-scale decline in the industry while the farms benefit from reduced operating costs over time but have largely unchanged profits, likely due to innovation and other capital improvements that are only keeping pace with agri-food pricing. (Dungannon Consulting Services, 2011; Statistics Canada, 2017)

In Ontario, the fruit and vegetable preserving and food manufacturing industry consists of 136 businesses, as reported by Stats Canada, with a combined annual revenue totaling \$672,100. 807 Food Co-op primarily serves the smaller region of Northwestern Ontario, home to approximately 30,000 people. This region includes Dryden, Machine, Ignace, Vermilion Bay, Ear Falls, Red Lake, Sioux Lookout, Kenora [Unorganized], Eagle Lake First Nation, and Wabigoon First Nations. Based in Dryden, which has a population of 15,457 (including the surrounding area), 807 Food Co-op caters to the local market.

The global trend of consuming locally sourced food is steadily growing, driven by several reasons that resonate with consumers:

- Reduced environmental impact due to shorter transport distances (referred to as "food miles")
- Fresher and more flavorful food due to reduced time in transit
- Embracing seasonal eating and reconnecting with the origins of our food

- Supporting the local economy by investing in local businesses
- Demanding transparency and traceability in the food supply chain

As more young people seek a rural lifestyle, this movement is expected to continue into the foreseeable future. Factors such as remote work opportunities and lower cost of living contribute to this shift, wherein individuals moving to rural areas will seek fresh food products that align with their preferences. Additionally, the aging population presents an opportunity to target the children of older individuals who are concerned about their vulnerability. By offering high-quality, nutrient-dense foods, 807 Food Co-op can satisfy this demand.

Entering the food processing and manufacturing market is not without its challenges. Barriers to entry include costs associated with equipment, labor issues, government regulations, and licensing requirements. Moreover, predicting growing outcomes seasonally can be difficult in the industry. However, the utilization of indoor farming techniques helps alleviate unpredictability, albeit requiring higher startup equipment costs.

Traditionally, the demand for local food peaks during the summer season when it is readily available and easily accessible at the Cloverbelt Farmers Market, at lower prices than average Ontario markets. Our objective is to expand this market by offering year-round access to locally produced food through convenient weekly pick-ups. This approach caters to individuals who may not be able to visit farmers markets regularly or lack the time for food preservation during the winter months.

Beef in particular is a main source of regional production and in high consumer demand. Working with beef producers and meat co-ops, we will leverage these relationships to provide greater offerings through superior value chain coordination. Another popular product is non-homogenized dairy, which is available in Thunder Bay, ON with a pilot subscription program in Dryden/Sioux Lookout in 2022. Consumers are willing to pay premium prices for quality dairy in Dryden and Sioux Lookout.

Within our market, we encounter competition from various sources. Agri-Tech North is a direct competitor with local options online and in store alongside their vertical farm. Grocery stores and restaurants, which can also be our customers, serve as indirect competitors. Additionally, farmers who sell their products directly to consumers, potentially becoming our suppliers, and meal delivery services also factor into the competitive landscape. However, at

807 Food Co-op, we embrace a unique position where we can both collaborate and compete with these businesses, striving for the overall well-being of our local economy.

SWOT Analysis

Strengths	Weakness
• Community development experience • Increased storage capacity at facility • Strong producer connections • Access to licensed commercial kitchen • Strong organizational connections • Partners	• Lack of business experience • Low market reach • No staff, dependence one or two personnel employed through partners • Lack of freezer space • Lack of food service experience among producers
Opportunities	Threats
• Partnerships with Superior Seasons, NEW, PACE, NOIC, NFDN, DNFC • Accessing new distribution routes through collaborations • Engaging community through community development initiatives • Within walking distance of youth and seniors: new market demographic • Collaborative opportunities through the incubation program • Granting opportunities available for local food projects	• Inflation and rising food prices • Local competition with a very similar business • Northern distribution routes are costly • Short seasons • Small market

Target Market and Customer Segmentation

Direct-to-Consumer Markets

807 Food Co-op distinguishes between two distinct, direct to consumer markets: primary and secondary.

The primary market, typically women aged between 45-65 years old, recognizes the value of homegrown, local food but does not have a keen interest in growing it themselves. The primary market highly values the convenience of skipping the grocery store, easy access to food, and attractive presentation. They are catered to with the grab & go lunch offerings and extended hours for in-person shopping.

On the other hand, the secondary market, typically women aged between 25-40 years old, shows a strong desire to cultivate their own food but may lack the knowledge or guidance to begin. They understand the importance of local food and view self-sufficiency as a necessary step, however are generally having a difficult time prioritizing it in their hectic schedules. This market segment seeks resources and support to enhance their understanding and skills in this area, as well as simple subscription programs to take things off their plate.

Both markets highly value a local and sustainable food chain that is free from contamination and appreciate the freshness and availability of healthy food at all times.

With a comprehensive benefits program, 807 Food Co-op will appeal to these markets through simple ways to support the work being done in the community.

Product & Service Offerings

Convenient Grab & Go Lunch Service

- Offer grab & go cold lunch service to the wider community through members stocking our fridges and freezers.
- Open up shopping hours for primary market and promote vibrant downtown.

Member Production Space and Services

- Support value-added products by co-op members for the community
- Support members through mentorship and paid member services
- Provide members with opportunities, training, and resources in the agri-food business.

- Foster a sustainable and thriving local food system through capacity building.
- Kitchen and equipment rentals to Non-Members

Collaborative Store and Wholesale

- Provide a farmers market experience year round online and in the 807 Food Hub
- Offer direct to consumer subscriptions for basic grocery staples like eggs, dairy and seasonal vegetables through Local Line

807 Community Benefits Program

- Provide consumers with a simple way to regularly support the local food movement and get exclusive perks in return such as discounts at local stores and at service providers, regular contests and giveaways and early bird discounts to special programs and events.
- 807 Food Co-op Employees, Members and Contractors will continuously work to build value into this program to enhance customer retention and scale this product for operational sustainability.

Marketing and Sales Strategy

Marketing Channels:

Website:

807foodcoop.ca offers information about local producers, local events and links customers to our online store.

Social Media:

Utilizing platforms such as Facebook and Instagram, 807 Food Co-op shares updates, promotes local vendors, offers recipes, and engages with the community in both our primary, direct to consumer markets. Paid advertisements will be included when the sales funnel is ready for the benefits program.

Local Events:

807 Food Co-op will participate in markets, community fairs, and other local events to connect directly with potential customers, build brand awareness, and promote the food hub's mission. The market presence will expand in 2025 with the addition of internal employees.

Email Marketing:

Sending a monthly newsletter, reminders, special promotions, and exclusive offers to interested customers, as well as weekly updates and ordering reminders.

Sales Strategy:

Collaborations: Establish partnerships with local restaurants, cafes, and grocery stores to supply them with quality local produce and products through the Network Project. Offer competitive pricing and build long-term relationships with these businesses. When pricing falls short, work with these establishments to offer discounts through our benefits program, which will drive consumers to their location and assist 807 Food Co-op from gaining subscription revenue from this program. Additionally, doing cross marketing online events (such as 2023 Burger Bonanza) will increase community engagement and expand market presence.

Online Ordering: With a collaborative online marketplace, we offer pre-orders online for pick up in a downtown location. Offering cross-hub sales and distribution efforts will increase access.

Subscription Model: Introducing subscription plans where customers can sign up for regular pickups of curated local products, creating consistent sales and customer loyalty is a next step through our online marketplace.

Bulk Sales: Targeting schools, corporate offices, and other institutions to promote bulk purchases of locally sourced produce and value added products is being built through value chain coordination relationships and support by the Network Project.

Pricing:

Competitive Pricing: We are on par with local market rates and ensure that the food hub's pricing remains competitive without compromising the quality of products.

Tiered Pricing: Create tiered pricing options to cater to different customer segments, such as wholesale prices for businesses and retail prices for individual customers.

Discounts and Promotions: Offer periodic discounts, special promotions, and loyalty rewards to encourage customers to try new products and remain engaged with the food hub's offerings.

Distribution:

Local Delivery: Establish a reliable and efficient delivery system in 2024 to offer doorstep delivery to customers within a defined radius, especially for those unable to

visit the hub physically. There are new decentralized options (Uber Eats) that have recently begun operating in Dryden.

Pickup Locations: Pick up is at a central location within the community, making it easier for customers to collect their orders.

Regional Delivery: Partnering with value chain coordinators, a wider distribution route will be established to move products through Northern Ontario in the Network Project..

Promotional Activities:

Content Marketing: Create recipe blog posts, videos, and infographics that highlight the benefits of supporting local farmers and producers, regenerative practices, and the value of the food hub's offerings. Share this content through social media and the website.

Community Engagement: Conduct cooking classes, workshops, and farm tours to educate the community about regenerative farming practices, culinary skills, and the connection between food and health. These events will be free or 50% for 807 Benefit Members.

Partnerships: Collaborate with relevant local organizations, schools, and community groups to organize joint events, fundraisers, and other initiatives that raise awareness about the food hub and its impact. In the past we have done this with The Horticultural Society, Dryden Native Friendship Centre and Riverview Lodge.

Reviews and Testimonials: Encourage satisfied customers to write reviews, share testimonials, and engage in word-of-mouth marketing within the community.

Operational Goals

Description of Operational Structure and Processes:

The 807 Food Co-op & Hub operates as a centralized platform and physical location connecting local farmers, producers, and customers. It acts as a distribution and marketing channel, facilitating the efficient flow of locally sourced food products. The key processes involved include product sourcing, storage, distribution, and delivery.

Management and Staffing Plan over the next three years:

Roles and Responsibilities:

2024

- Director General: Manage organization, Financials, Value Chain Coordination, Staff Management, Reporting, Grant Writing, Project Coordination

- Co-op Coordinator: Manage co-op day to day activities, coordinate aggregation day, daily operations, opening/closing, online customer service, and member communications. 35hrs (*on-site*)

- Hub Coordinator: Manage facility & activities, coordinate aggregation day, daily operations, opening/closing, online customer service, and member communications. 35hrs (*on-site*)

- Shop Hand / Dishwasher: Perform shop duties such as cleaning, maintenance and food preparation. 30hrs (*Onsite*)

- Dryden Network Coordinator (through NWOFFHN Project via Ontario Co-operative Association)

- Sioux Lookout Network Coordinator (through NWOFFHN Project via Ontario Co-operative Association)

- Thunder Bay Network Coordinator (through NWOFFHN Project via Ontario Co-operative Association)

Marketing and Communications Coordinator (through NWOFFHN Project via Ontario Co-operative Association)

Sales and Logistics Coordinator (through NWOFFHN Project via Ontario Co-operative Association)

Project Coordinator (through NWOFFHN Project via Ontario Co-operative Association)

Supply Chain Management and Logistics Plan:

Sourcing:

- Collaborate with transportation partners to manage distribution to wholesale customers and designated pickup points through the Network Project.

- Monitor delivery performance, address any issues promptly, and ensure on-time deliveries.

Physical Infrastructure and Facilities:

- Facility: 807 Food Co-op is operating out of a custom food hub facility with sufficient space for cold product storage, hydroponic growing areas and loading door.
- Office Space: The facility has a central office space for administrative functions, intake coordination, and marketing activities.
- Packing Room: There will be an area for product packing, sorting, and labeling to streamline order processing.
- Opportunities for Growth: The location of the Food Hub has ample room for growth with large lots and vacant buildings/garages on-site to lease or rent for collaborative storage or initiatives.

Supply Chain and Logistics Processes:

Sourcing:

- Maintain close relationships with local producers, attend farmers markets, and communicate product requirements regularly.
- Conduct periodic meetings with suppliers to discuss quality standards, regenerative farming practices, and product availability.

Storage:

- Adhere to proper inventory management practices, including first-in, first-out (FIFO) stock rotation.
- Implement quality assurance procedures, including regular inspections, temperature monitoring, and pest control, to ensure product freshness and safety.

Distribution and Delivery:

- Collaborate with Network Project Coordinators to decide on delivery schedules, considering peak demand periods and customer preferences.
- Utilize collaborative software to track orders, manage routes, and provide real-time updates to customers regarding delivery status.
- Implement a return and exchange policy to handle any product-related issues,

ensuring customer satisfaction.

Co-operative Members

Membership Streams

Annual Member: \$50 + HST/ per year for Annual Membership

- Display our logo on your website and other promotional materials to demonstrate your commitment to the co-operative model and principles in Northwestern Ontario.
- We actively promote our members through sharing your story and how you contribute to our local food system here in Northwestern Ontario.
- Participate in 807 Co-op & Hub exclusive events and workshops (i.e. community events, farm to table dining experiences, and more).

Online & In-Store Member: \$50 + HST / per year for Annual Membership & 10% of Online Sales

- Amplify online presence, reach a wider customer base, and benefit from established e-commerce capabilities. With streamlined online operations and collective marketing power, focus can be on producing quality goods while leveraging the trust and support of customers who actively seek out local and sustainable products.

Hub Member: \$50 + HST / per year for Annual Membership, 10% of Sales & \$100 + HST/per month

- 1 day/week in the commercial kitchen with priority on equipment and main kitchen space (up to 18hrs)
- Products that are sold on consignment through the hub will get used first for gift packages.
- Collaborative Marketing through Co-op
- Storage shelf for personal ingredients/products in pantry and cold room
- Access to the hub to package/prepare outside of the kitchen as needed (exception during private times which will be posted clearly on joint shared calendar by hub members)
- Use of specialty equipment like chamber vacuum sealer, Kitchen Aid / Grinder, Vitamix, Food Processor and more during your hub day

- Personal retail display showcasing your business in the Hub
- Use of Herbs growing at the hub for lunch service
- Use of premises ID for grant / health unit purposes and address for manufacturing location

Business	Location	Type of Production	Member Stream
Parrs Jars	Dryden, ON	Smoked Salt Blends	HUB
Black Barn Farms	Oxdrift, ON	Grass-finished Beef and forest raised Pork	ONLINE & IN STORE
Hubers' Bavarian Meats	Wabigoon, ON	Bavarian meats and deli meats	ONLINE & IN STORE
Nautical Coffee	Kenora, ON	Roasted Coffee	IN STORE
The Vintage Kitchen	Dryden, ON	Sourdough, Baking, Preserves	HUB
Busters BBQ	Vermilion Bay, ON	BBQ Sauce	ANNUAL
Foraged North	Wabigoon, ON	Wild Rice	ONLINE & IN STORE
Boreal Coffee	Dryden, ON	Roasted Coffee	ONLINE
Twin Roots	Ignace, ON	Freeze dried goods, Microgreens and Seasonal Produce	ANNUAL
Walls Farm	Oxdrift, ON	Seasonal Produce	ANNUAL
Rockfront Family Farm	Sioux Lookout, ON	Microgreens and Seasonal Produce	ONLINE & IN STORE
Spiritstead	Dryden, ON	Produce	ANNUAL
Sidders Syrup	Cochénour, ON	Maple Syrup	ANNUAL
Lakeview Farms -	Wabigoon, ON	Seasonal Produce,	ONLINE

Dinorwic		Beef, Sheep	
Caliente Catering	Sioux Lookout, ON	Prepared Meals	ANNUAL
Rivers Edge Farm	Dryden, ON	Beef	ONLINE
Cloverbelt Country Meats Co-op	Minnitaki, ON	Meat Processor	ONLINE & IN STORE
Frostee Bites	Dryden, ON	Freeze Dried Candy	ONLINE & IN STORE
Five Acre Farm	Dryden, ON	Baking and Meals	ONLINE & IN STORE

Project Partners

The Ontario Cooperative Association

Providing co-operative expertise and financial support for large projects, OCA will assist in the implementation and reporting for the NWOFFHN project and other agreed upon projects that require significant cash flow.

Localline

Support and training for producers and food hubs on collaborative software solutions through food hub network upgrades

The Northwestern Ontario Innovation Centre

Agri-Food Business Incubation support on food processing and regulations, product development, labelling and packaging, distribution (i.e. restaurants, grocers and retailers), promotion, and pricing

Patricia Area Community Endeavours

Agri-Food Business Incubation support with board room access, business advice, information, help with business plans, export support, entrepreneurial training, information on Federal and Provincial programs and services and financial assistance

Northwest Employment Works

Training support for hub employment and youth programs to enhance the availability of labour and facilitate the knowledge transfer of marketable skills for underemployed individuals.

Dryden Native Friendship Centre

Working collaboratively to get more local food into programs whilst providing an opportunity for 807 Food Co-op to donate to food service programs being delivered at no charge.

Horticultural Society

Collaborating in local initiatives such as Annual Family Picnic, a Waste Resource & Recovery Plan and other events which have a collaborative benefit.

Dryden High School Co-op

Working with youth who are facing barriers, 807 Food Co-op provides an opportunity for training and development through the co-op student program at DHS.

Social Impact & Impact Measurement

Impact Indicator	Measurement	Timeline
Local Food Sales	\$	Annually
Suppliers Support #	#	Annually
Job Created or Maintained	#	Annually
Social Impact	Integrated program for food security, programs that increase inclusivity and stability of local food networks	Annually

Environmental Impact	Supporting regenerative methods qualitative report	Annually
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Financial Plan

Detailed financial projections, including income statements, balance sheets, and cash flow statements. Break-even analysis and financial performance metrics. Funding sources and investment requirements.

[Cash Flow Projections 2024-2026](#)

3 Year Plan

- [Develop an 807 Community Benefits Program](#) for recurring revenue. This will connect and provide exposure for local stores and restaurants, food producers/processors, farms and service providers
- Develop and monetize blog through affiliate marketing strategies and improve SEO
- Develop product lines for the hub, focussing on revenue generating items and supporting other food entrepreneurs. Currently working on organ meat product development for fog food / treats.
- Start to offer home delivery through Uber Eats which has recently moved into the region
- Creating self-sufficiency and skill building courses along with members to increase value in the benefits program and provide sales opportunities beyond the region
- Creating digital products and consulting templates for supporting other rural food hubs in the development of successful revenue strategies.
- Empowering Members in the Agri-Food Business
 - Provide members with opportunities, training, and resources in the agri-food business.
 - Foster a sustainable and thriving local food system through capacity building.

Grab and Go:

- Focus on high margin grab and go, coffee, pizza and ice with member products in the fridge and freezer.

- Hire a hub coordinator to care for the hydroponics, harness waste and coordinate revenue generating kitchen activities
- Maintain store and grab and go hours

Increase Food Availability in Hub

- Work with partner Superior Seasons to include more staple products in store. Staple goods such as eggs, dairy and bread are vital to bringing more traffic into the store to purchase several items.
- Through partnership with Superior Seasons, develop a mutually beneficial distribution routes to producers throughout Thunder Bay and Dryden region
- Develop wholesale relationships, including with institutions, organizations and other markets.
- Marketing campaign to create excitement surrounding partnership with superior seasons, Rockfront Family Farm and the important multiplier effects of local food and impact within the local economy.
- Position products on a more premium price range.

Develop Food Hub Products

- Obtain funding from the Grow Ontario Market Initiative in order to develop and sell a hub made product.
- Complete market testing and analysis in 2024, then begin processing in 2025.
- Utilize the commercial kitchen space as a revenue stream, offering the hub to other food entrepreneurs to develop their recipes and products.

Granting:

- Obtain grants through programs such as NOHFC, Agri-Diversity and Fednor to focus on development of the food hub, member relationships and product development and hire more staff.